GradientCIO

GIPS MANAGER DILIGENCE

Northfield Example Capital — GIPS Manager Diligence

Global Value Equity Composite · data through 2025-12-31 · synthetic example

SUBJECT **Northfield Example Capital**	DOCUMENT REVIEWED **GIPS Composite Report**	DATA THROUGH **2025-12-31**
VERIFIER **Example Verifier LLP**	PREPARED FOR **Gradient**	REVIEW DATE **2026-10-04**

OVERALL ASSESSMENT

Satisfactory with follow-ups

REQUIREMENTS EVIDENCED

7 of 8 · Partial

01 Summary

OVERALL ASSESSMENT

Satisfactory with follow-ups

REQUIREMENTS EVIDENCED · 7/8

BOTTOM LINE

The firm-wide GIPS claim is correctly worded and verified through 2024 S1 S2. Two Medium findings need answers before approval: composite assets in the DDQ do not match the GIPS Report, and the fee schedule omits the performance fee S1 S3.

MET	PARTIALLY MET	NOT MET	NOT FOUND
4	2	1	1
Four requirements evidenced	Verification and fee disclosure	DDQ asset inconsistency	Composite descriptions list

EVIDENCE STATUS

GIPS Composite Report	**Available**	Data through 2025-12-31 S1
Verification letter	**Available**	Coverage through 2024-12-31 S2
DDQ	**Degraded**	Composite assets conflict with the report S3

SYNTHETIC EXAMPLE for layout testing. Basis: GIPS Composite Report (Global Value Equity, data through 2025-12-31), verification letter dated 2026-03-15 and DDQ section 7. Diligence review against the 2020 GIPS standards; not a verification or legal opinion.

- **Overall assessment:** Satisfactory with follow-ups.
- Firm-wide compliance claim uses the required wording (4.C.1) and is verified through 2024-12-31.
- **Medium:** the DDQ states composite assets of $2.4B; the GIPS Report shows $2.1B at 2025-12-31 (1.A.7).
- **Medium:** the fee schedule disclosure omits the performance fee (4.C.11).

Key judgment — evidence balance

Observation: Met is 4 and Not met is 1 S1. Why it matters: The evidence is mixed. Uncertainty: The review is document-bound. What would change the view: Additional governed evidence that changes either count.

Key judgment — partial support

Observation: Partially met is 2 S1. Why it matters: Partial support limits a clean conclusion. Uncertainty: Missing documents may exist. What would change the view: Complete evidence for the partially supported requirements.

Key judgment — evidence gaps

Observation: Not found is 1 S1. Why it matters: Unlocated evidence remains outside the assessment. Uncertainty: Absence from the supplied record is not proof of absence. What would change the view: A current document resolving the gap.

Analysis — Asset evidence needs reconciliation

Observation: The DDQ and GIPS Report differ on composite assets S1, S3. **Why it matters:** the inconsistency limits reliance on the reported composite scale. **Uncertainty:** the effective date of any asset change is not documented. **What would change the view:** evidence closing follow-up request 1.

02 Performance Integrity & GIPS

REQUIREMENT EVIDENCE MATRIX (TEST)

REQUIREMENT	EVIDENCE SCORE
PERFORMANCE RECORD	1.0
DISCLOSURES	0.5
GOVERNANCE EVIDENCE	-0.5

Performance Integrity & GIPS

Overall assessment: Satisfactory with follow-ups

GIPS status: Northfield claims compliance with the GIPS standards. Verified by Example Verifier LLP for 2015-01-01 to 2024-12-31. No performance examination of the composite. Report reviewed: Global Value Equity Composite, data through 2025-12-31.

Key findings

- [Medium] DDQ composite assets differ from the GIPS Report by $0.3B (1.A.7)
- [Medium] Fee schedule omits the performance fee (4.C.11)
- [Low] Verification gap of 12 months to the latest year-end

Track record notes: 11 years of annual returns, net of actual fees; global value equity benchmark; 14 portfolios; no carve-outs or portability.

Follow-ups before approval

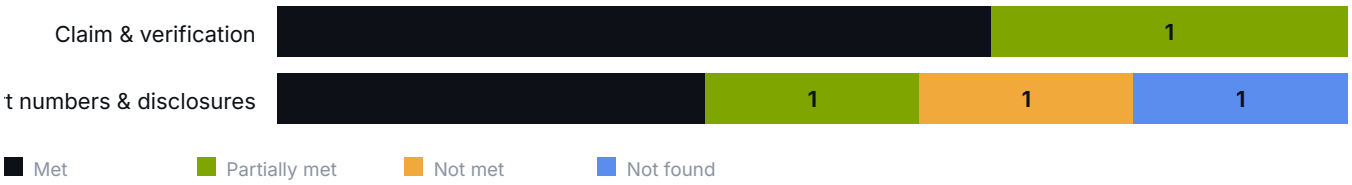
1. Reconcile composite assets between the DDQ and the GIPS Report.
2. Provide the full fee schedule including the performance fee.

03 Follow-up Requests

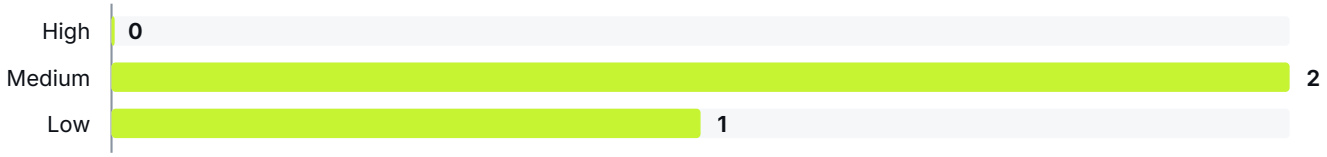
1. Composite asset reconciliation between DDQ 7.3 and the GIPS Report (1.A.7).
2. Full fee schedule including the performance fee (4.C.11).
3. List of composite descriptions (4.C.15).

A Appendix — Findings Checklist

CHECKLIST STATUS BY AREA



FINDINGS BY SEVERITY



Claim & verification

AREA	REQUIREMENT	PROVISION	STATUS	EVIDENCE	FINDING / FOLLOW-UP
Claim	Compliance statement wording	4.C.1	Met	GIPS Report p.2	—
Claim	Firm-wide claim	1.A.1	Met	GIPS Report p.2	—
Verification	Verification covers recent periods	Verification	Partially Met	Letter 2026-03-15	2025 not yet verified

Report numbers & disclosures

AREA	REQUIREMENT	PROVISION	STATUS	EVIDENCE	FINDING / FOLLOW-UP
Numbers	Composite assets each year	4.A.1	Met	GIPS Report p.1	—
Consistency	DDQ agrees with GIPS Report	1.A.7	Not Met	DDQ 7.3 vs Report p.1	$2.4B vs $2.1B
Disclosures	Fee schedule	4.C.11	Partially Met	GIPS Report p.3	Performance fee missing
Disclosures	Benchmark description	4.C.32	Met	GIPS Report p.3	—
Policies	List of composite descriptions available	4.C.15	Not Found	—	Request

MEDIUM **Composite assets conflict**
The DDQ reports $2.4B while the GIPS Report reports $2.1B S1, S3.

MEDIUM **Fee schedule incomplete**
The reviewed fee schedule omits the performance fee S1.

LOW **Verification period gap**
Verification evidence ends at 2024-12-31 S2.

B Appendix — Sources

TAG	SOURCE	DETAIL	AS OF	VALIDATION
S1	GIPS Composite Report	Global Value Equity, pp.1–3	2025-12-31	Document
S2	Verification letter	Example Verifier LLP	2026-03-15	Document
S3	DDQ	Section 7	2026-06-30	Document

C Appendix — Method & Disclaimer

Ratings follow the High/Medium/Low scale and overall-assessment rules in the Gradient GIPS output format. This is a diligence review against the published 2020 GIPS standards, not a verification, compliance certification or legal opinion.